M.EXPRESS

CAR HIRE PARTNER PAYMENT INTEGRATION

Processes and policies | Nov 5, 2026

Prepared by TGW Group for M.Express

Purpose and scope

This framework extends the existing M.Express deposit payout and reimbursement model to vehicle hire deposits specifically: bookings with Avis, Europcar, Hertz, First Car Rental and similar asset partners, where a refundable security or damage deposit is held against the hire.

It covers the roles of the three parties, the payment and data integration between M.Express and each car hire company, the policies for onboarding a hire company as a partner, and the controls that keep the client advance, the final approved refund and the reimbursement from M.Express in step with each other.

It does not cover the hire agreement itself, vehicle insurance, or the deposit amount set by the hire company - those stay the car hire company's terms. It assumes the legal and regulatory classification work in the existing South Africa requirements and compliance checklist runs in parallel, since this product sits inside that same classification question.

Key difference from the base model: a vehicle hire deposit is frequently not refunded in full. Fuel, tolls, e-tags and traffic fines (which can arrive weeks after return) routinely reduce the amount the hire company ultimately approves. M.Express often advances against a figure that is not yet final - this framework exists to manage that gap.

Parties and roles

Party	Role	Primary obligation
Hiring client	Books and returns the vehicle; receives the deposit advance	Accept the 5% fee and advance terms; keep bank details and ID current

Party	Role	Primary obligation
Car hire company (asset partner)	Holds the deposit; approves the final refundable amount; reimburses M.Express	Confirm claims accurately, assess deductions promptly, reimburse in full by the due date
M.Express	Advances the client's deposit; carries the reimbursement exposure until settled	Verify claims and identities, pay the client, pursue reimbursement, reconcile

M.Express sits between the two other parties on every transaction: it never advances a deposit without a claim and commitment on record from the car hire company, and it never pays the client before that commitment is captured.

Commercial model for vehicle hire deposits

The fee and payout mechanics follow the standard M.Express model: the client pays a 5% fee on the amount advanced, and the car hire company reimburses the full amount M.Express paid out, with no extra fee charged to the partner.

The difference in vehicle hire is *when* the approved amount is known. A generic deposit refund is typically a fixed, pre-confirmed figure. A vehicle hire deposit usually clears in two stages: a provisional approval at vehicle return (the branch inspects the vehicle for visible damage, but tolls, e-tags and fines can still arrive later), and a final approval, typically 14-30 days after return, once outstanding charges are reconciled.

Advance model	When M.Express pays the client	Basis of advance	Risk carried by M.Express
Full provisional advance	At provisional approval, on return	95% of the provisional amount	Later deductions become a client recovery, not a partner shortfall
Final-approval advance	Only after the final approved amount	95% of the final approved amount	Minimal - advance and reimbursement are for the same confirmed figure

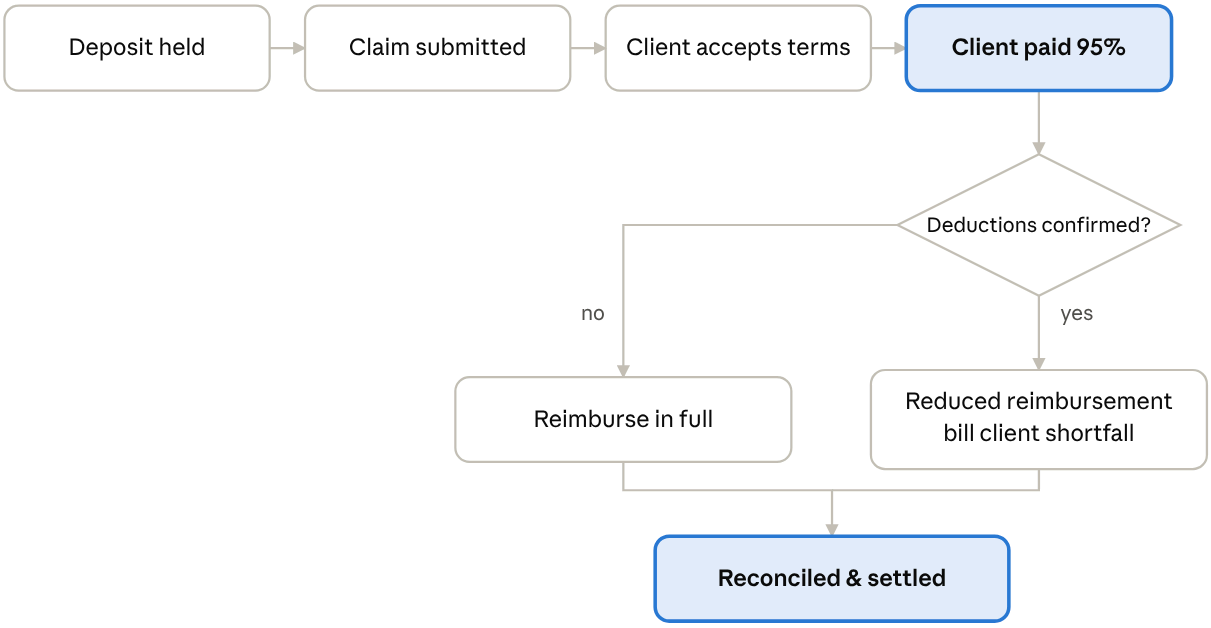
Worked example - full provisional advance, R8,000 deposit, R750 of tolls and fines confirmed after return:

Item	Amount
Deposit held by car hire company	R8,000.00
Provisional approval at return	R8,000.00
M.Express fee - 5%	R400.00
Paid to client at return	R7,600.00
Tolls and fines confirmed after return	R750.00
Final amount car hire company reimburses M.Express	R7,250.00
Shortfall recovered from client	R750.00

The full provisional model is the one that gives clients the speed they expect, but it also creates a receivable against the client, not just the partner. Every claim record carries both the provisional and the final amount, so any shortfall is traceable to a specific claim and recoverable.

End-to-end process flow

A provisional payout can later shrink once deductions are confirmed



deposit-to-settlement flow · 1 decision point

The branch at return matters operationally: on the full provisional model, "Client paid" happens before "Deductions confirmed" - M.Express is carrying an open position on that claim until the hire company's final figure lands and either confirms the full amount or triggers a shortfall recovery from the client.

Payment and data integration

Two integration tiers, so a large partner like Avis and a small independent hire company can both connect.

Integration tier	How the partner connects	Typical partner
API / webhook	Partner's reservation system posts claims to the M.Express claims API; M.Express pushes status webhooks (approved, paid, reimbursement due, overdue) back to the partner	National/franchise chains (Avis, Europcar, Hertz, First Car Rental)
Partner portal	Partner staff log in to submit claims, upload return and damage documentation, and view amounts due, manually	Independent and regional hire companies

Data exchanged per claim, at minimum:

- Client identity and bank details, for payout and verification
- Deposit reference and hire agreement number
- Provisional approved amount at return, and final approved amount once charges are reconciled
- Supporting documents: hire agreement, return inspection report, any damage or fine evidence
- Claim status and the payment and reimbursement references tied to it

Settlement runs through the partner's and M.Express's own business bank accounts via EFT; no funds are held on behalf of either party outside a claim's own payout and reimbursement entries - consistent with paying its own financing obligations rather than operating a payment system for others, the distinction the existing compliance checklist flags for the bank and SARB assessment.

Partner onboarding policy

No car hire company is integrated, even at portal level, before:

Step	Requirement
Company verification	CIPC registration, directors and beneficial owners confirmed

Step	Requirement
Banking verification	Partner's settlement bank account confirmed and matched to the registered entity
Reimbursement agreement signed	Claim authority, final refund confirmation process, reimbursement due dates and dispute process, per the holding company agreement already specified
Exposure limit set	A per-partner cap on total outstanding advances, based on the partner's size, payment history and reimbursement track record
Integration tier assigned	API/webhook or portal, based on the partner's own systems and transaction volume

New partners start on the final-approval advance model and a conservative exposure limit. A partner earns the full provisional advance model and a higher limit only after a track record of on-time reimbursement - for example 90 days and 20+ settled claims with no overdue reimbursement.

Risk, exposure and fraud controls

These extend the operational controls already set out in the existing compliance checklist with controls specific to having many hire-company partners and a provisional/final amount gap.

- **Per-partner exposure limit** - total outstanding advances to any one car hire company capped and monitored in real time; new claims from a partner at its limit are held, not paid.
- **Per-client exposure limit** - a client cannot have more than one open advance at a time across partners, checked by ID at claim verification.
- **Duplicate-claim check** - deposit reference and hire agreement number checked against open and settled claims before payout, to prevent the same deposit being financed twice.
- **Independent bank-detail verification** - any change to a client's or partner's bank details is verified through a separate channel before the next payout.
- **Separation of duties** - the person approving a claim is not the person releasing the payment.

- **Daily reconciliation** - every payout and reimbursement matched to its claim; unmatched items escalated the same day.
- **Provisional-to-final variance monitoring** - claims where the final approved amount comes in materially lower than the provisional amount are flagged for review, both as a client shortfall-recovery case and as a signal to reassess that partner's or claim type's risk.
- **Working capital buffer** - sized to cover partners' average reimbursement cycle plus a stress margin, so one partner's late reimbursement doesn't stall payouts on other partners' claims.

Deductions, disputes and partial refunds

This is the step that doesn't exist in a generic deposit refund.

1. At vehicle return, the hire company confirms a provisional approved amount. If M.Express has advanced against this figure (full provisional model), that advance is a client receivable, not yet a closed claim.
2. The hire company finalises the amount - typically 14-30 days later - once tolls, e-tags and fines are reconciled; this is the final approved amount.
3. If final equals provisional, the reimbursement pack is issued for the full amount and the claim proceeds to settlement as normal.
4. If final is lower than provisional, the hire company's claim pack must itemise the deductions. M.Express issues the client a shortfall notice referencing the claim, with the deduction breakdown attached, and recovers the shortfall under the client agreement's clawback terms.
5. If the client disputes a deduction, the dispute is routed to the hire company - the party that applied the charge - not resolved by M.Express. M.Express pauses shortfall recovery on the disputed portion only, and the claim stays open until the hire company confirms or reverses it.
6. If the hire company's own claim is disputed or incomplete, it is held at "Awaiting reimbursement" and does not count against that partner's exposure limit as settled.

The reimbursement pack (proof of payment, client acknowledgment, itemised final amount) shows provisional, deductions and final figures side by side - the same discipline the base system already applies to fee and payout breakdowns.

SLAs and escalation

Stage	Target timeline	Escalation if missed
Claim verification (identity, bank details, duplicate check)	Same business day	Claim held, partner notified
Client payout after acceptance	Within 1 business day	Ops review, client notified of delay
Final amount confirmation from partner	30 days from return	Auto-reminder at 20 days; claim flagged overdue at 30
Reimbursement from partner	Per the reimbursement pack due date (standard: 7 days from issue)	Reminder at due date; formal notice at +7 days; claim counted against the partner's exposure limit, which is reduced at +14 days
Client shortfall recovery	14 days from shortfall notice	Standard credit-control follow-up per the client agreement

An overdue reimbursement from one partner doesn't stop that partner's other in-flight claims from being honoured to clients. It reduces that partner's available exposure limit for new claims until resolved, so one slow partner can't be absorbed by over-exposure elsewhere.

Contracts and documentation

Builds on the document set already specified in the existing compliance checklist, with what's specific to vehicle hire called out.

Document	Specific to vehicle hire
Holding company agreement (car hire partner)	Adds the provisional vs final amount process, the deduction categories the partner may claim (damage, fuel, tolls, e-tags, fines), the exposure limit and the integration tier

Document	Specific to vehicle hire
Client agreement	Adds an explicit shortfall clawback clause for the gap between the provisional and final approved amounts
Claim approval record	Captures both the provisional and final approved amounts against the claim
Reimbursement pack	Itemises deductions alongside proof of payment and acknowledgment
Partner integration agreement	API/webhook specification and SLAs, or portal terms of use, for the chosen integration tier
Shortfall notice	Issued to the client when the final amount is lower than the provisional one, with the deduction breakdown
Complaints and dispute policy	Extended to route deduction disputes to the hire company, with M.Express as the record-keeper rather than the adjudicator

Compliance alignment

This system operates inside the same unresolved classification question flagged in the existing compliance checklist: whether M.Express is purchasing a confirmed receivable, providing credit, or something else. Nothing here resolves that question - it still needs the financial services attorney's sign-off before launch.

Area	How this system touches it
NCR / credit regulation	The shortfall clawback on the provisional advance looks more credit-like than a simple deposit purchase, since the client owes M.Express if the final amount is lower - flag this specifically for the attorney's classification review
FICA	Each car hire partner and each client goes through the same verification already specified; no change for having multiple partners beyond volume

Area	How this system touches it
POPIA	Vehicle hire adds hire-agreement and inspection/damage documentation to what's collected - covered by the existing privacy notice and data-sharing basis, but the notice should name car hire companies as a recipient category explicitly
SARB / payment services	Multi-partner settlement strengthens the case for discussing the payment-service classification with the bank before scaling beyond one or two partners
Operational controls	The risk section above extends the existing operational control list for a multi-partner, two-stage-amount model

Before onboarding the first car hire partner, take the same three appointments the compliance checklist recommends - the attorney, the accountant and the bank's compliance team - and add this framework's partner agreement and claim flow to what they review, calling out the provisional/final amount gap and the client shortfall clawback specifically.